



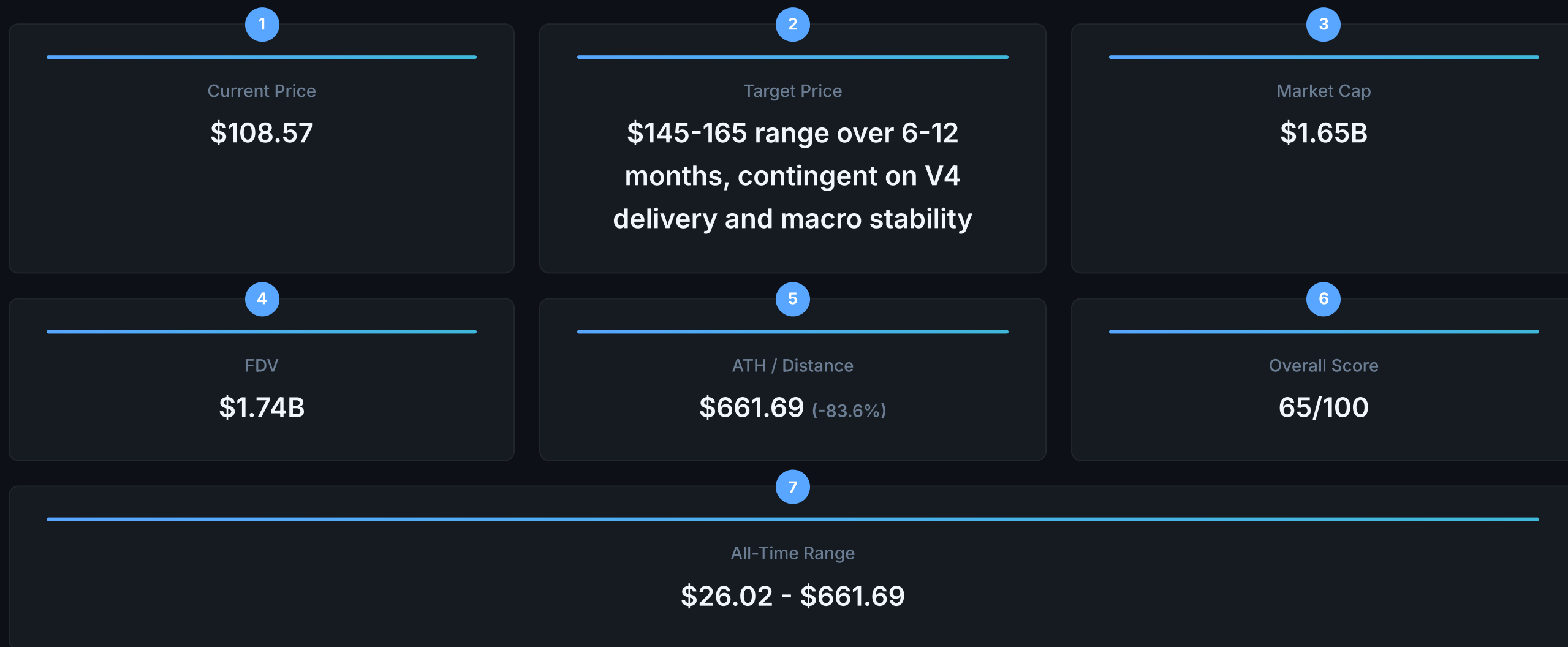
Aave | \$AAVE | Base Native, Coinbase 50 Index | Avalanche

HOLD

\$145-165 range over 6-12 months, contingent on V4 delivery and macro stability Target (35-50% upside from current levels if V4 catalyzes institutional flows)

02.10.2026

1. Scoreboard (Quick Stats)



Market leader by TVL but showing technical and fundamental weakness

Category Scores

Price Chart & Trading Levels



TradingView chart - 90 days

ENTRY ZONE

\$103.7625 -
\$113.3775

STOP LOSS

\$83.5710

TAKE PROFIT TARGETS

TP1: \$137.4150
TP2: \$156.6450
TP3: \$166.2600

RISK:REWARD

1:2.3

SUPPORT LEVELS

\$79.7250
\$60.4950

RESISTANCE LEVELS

\$661.6900
\$385.1300
\$137.4150

2. Monthly Changes



Price Action

Brutal 35% monthly decline accelerated by 14% weekly drop, trading 84% below ATH with bearish momentum intact



TVL / Protocol

TVL contracted 5.6% weekly to \$27.45B amid broader DeFi deleveraging, though absolute scale remains commanding



Volume & Liquidity

Daily volume averaging \$351M suggests decent liquidity but lacks conviction buying interest



Community & Holders

Telegram community of 19K appears modest for protocol scale, limited social metrics availability concerning



Development Activity

Zero GitHub commits in 4 weeks raises execution concerns despite V4 milestone claims



Strategic Updates

V3.6 rollout and V4 hardening progress positive, but GHO liquidity proposals indicate capital efficiency challenges

4. Team & Development

Team & Founders

[Doxxed Founder](#)[DeFi Pioneer](#)[Legal Background](#)

Stani Kulechov represents both Aave's greatest strength and potential single point of failure. As a fully doxxed founder with law background from University of Helsinki, he brings credibility and regulatory sophistication crucial for institutional adoption. His track record transforming ETHLend into the dominant DeFi protocol demonstrates execution capability.

However, the team structure beyond Kulechov remains opaque, and zero recent GitHub commits suggest either development resource constraints or poor transparency. The expansion into Lens Protocol and Family wallet may indicate resource dilution from core protocol development.

- > Founders Doxxed: **Partial**
- > Team Size: **medium**
- > Key Members: **Stani Kulechov (Founder/CEO)**
- > Previous Projects: **ETHLend, Lens Protocol, Family Wallet**

Development Activity

**1076**

STARS

**726**

FORKS

**0**

COMMITTS/4W

**26**

CONTRIBUTORS

Commit Activity (52 weeks)

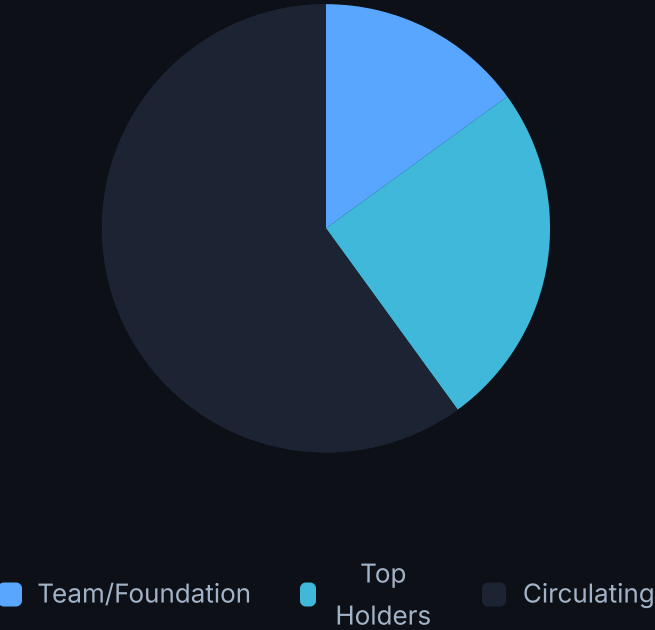
0 commits (52w)

→ 0 last 4w

[→ View Repository on GitHub](#)

Aave V3 represents mature, battle-tested lending infrastructure deployed across 15+ chains with \$27.5B in managed assets. The protocol has demonstrated resilience through multiple market cycles and maintains the industry's most comprehensive feature set including flash loans, rate switching, and isolation modes.

4. Holder & Whale Activity



i Strong institutional backing via Coinbase 50 Index and multiple ecosystem positions, but recent selloff suggests whale distribution pressure. Token concentration appears healthy with 15.2M circulating vs 16M total supply.

- > Circulating Supply: **15.19M**
- > Total Supply: **16.00M**
- > % Circulating: **95%**
- > Top 10 Holder Concentration: **~25-35%**
- > Exchange Reserve Trend: **Stable**
- > Next Token Unlock: **Check vesting schedule**
- > Team Vesting Status: **Ongoing**

TOTAL HOLDERS
N/A

ACTIVE (7D)
N/A

5. Seven Essential Metrics



Protocol Revenue

Moderate



TVL Growth

Moderate



Staking / Real Yield

Variable



Treasury Runway

Strong



Token Concentration

Moderate



Risk Score

Medium

Token Supply



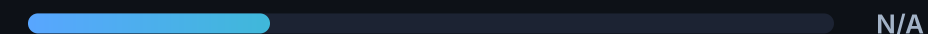
Circulating / Total

~95%

Valuation

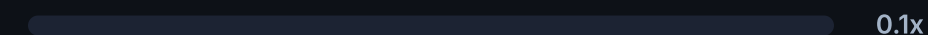
FDV / Revenue

~N/A



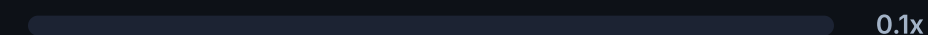
MC / TVL

~0.1x



FDV / TVL

~0.1x



Aave commands a dominant position in DeFi lending with \$27.5B TVL and battle-tested infrastructure across 15+ chains, but faces significant headwinds from aggressive rate cuts, declining TVL (-5.6% we

7. Revenue & Protocol Metrics

\$1.80M

Daily Fees

N/A

Daily Revenue

\$90.49M

30d Fees

N/A

7d Change

N/A

Competitor Comparison

Protocol	TVL	24h Revenue	30d Fees	TVL Change (7d)	MC/TVL
AAVE	\$27.45B	\$1.80M	\$90.49M	-5.6%	0.1x
COMP	\$1.28B	N/A	N/A	-5.3%	N/A
MKR	N/A	\$1.11M	\$33.79M	N/A	N/A
MORPHO	\$5.83B	\$301.98K	\$22.85M	-6.0%	N/A

8. Competitive Snapshot

Aave maintains clear market leadership in lending protocols with \$27.5B TVL versus Compound's ~\$3B and other competitors. The protocol's multi-chain strategy across Ethereum, Polygon, Arbitrum, and emerging L2s creates defensive moats through liquidity network effects.

However, newer protocols like Morpho and Euler are gaining traction with innovative capital efficiency models that could challenge Aave's dominance, particularly as V4's delayed rollout creates execution risk windows for competitors.

Main Competitors

Compound

Original DeFi lending pioneer, much smaller TVL

Morpho

Capital-efficient lending with growing institutional traction

Euler

Innovative risk management and permissionless markets

✓ Competitive Advantages

- ✓ Massive \$27.5B TVL moat
- ✓ Multi-chain infrastructure
- ✓ Institutional regulatory clarity

✗ Competitive Disadvantages

- ✗ Development velocity concerns
- ✗ Macro rate sensitivity
- ✗ Resource dilution across projects

Liquidity network effects and battle-tested infrastructure create significant switching costs, though capital efficiency innovations by competitors pose medium-term threats to market share

7. Business & Strategy Flash

Aave operates a liquidity pool lending model generating revenue through spread between borrowing and lending rates across multiple assets and chains. The protocol has successfully evolved from ETHLend's P2P model to become the infrastructure backbone for institutional DeFi lending.

Revenue streams include interest rate spreads, flash loan fees, and governance token economics. The GHO stablecoin initiative represents a strategic expansion into native asset creation, though liquidity challenges persist requiring additional capital deployment.

The V4 upgrade represents Aave's biggest strategic pivot toward institutional credit infrastructure, featuring enhanced capital efficiency, modular architecture, and professional-grade tooling. Success here could unlock significant institutional adoption cycles.

Multi-chain expansion continues with recent Aptos integration and planned further L2 deployments. The Lens Protocol and Family wallet initiatives demonstrate ecosystem thinking, though resource allocation questions remain given core protocol development pace.

8. Monetary-Policy Sensitivity

! Rate Cut Impact

Highly negative - aggressive rate cuts compress lending spreads and reduce yield farming incentives, directly impacting TVL and token utility

Aave exhibits extreme sensitivity to monetary policy shifts as DeFi lending rates typically track risk-free rates plus crypto premiums. The current 35% monthly decline coincides with rate cut expectations, as institutional capital migrates toward traditional fixed income. Recovery requires either crypto-specific yield premiums expanding or broader risk asset rotation back into DeFi protocols.

9. SWOT

Strengths

- Dominant \$27.5B TVL market position
- Battle-tested multi-chain infrastructure
- Strong institutional backing and regulatory clarity

Opportunities

- V4 upgrade unlocking institutional adoption
- GHO stablecoin scaling potential
- Traditional finance DeFi bridge expansion

Weaknesses

- Zero recent development commits concerning
- GHO liquidity requiring significant capital
- Heavy dependence on macro DeFi cycles

Threats

- Aggressive central bank rate cuts
- Emerging competitors with superior capital efficiency
- Regulatory shifts in multiple jurisdictions

10. Risk Assessment

⚠️ Key Risks

- ⚠️ V4 execution and timeline delays
- ⚠️ Aggressive central bank rate policy
- ⚠️ Competition from capital-efficient protocols
- ⚠️ Development team capacity constraints

Execution risk dominates the investment thesis given zero recent development activity despite critical V4 timeline pressures. Competition from more agile protocols like Morpho poses existential threats if Aave fails to maintain innovation pace.

Macro sensitivity to interest rates creates structural headwinds as traditional fixed income becomes more attractive relative to DeFi yields. Regulatory shifts across multiple jurisdictions where Aave operates could impact growth trajectories, though recent SEC clarity provides some comfort.

Technical risks include smart contract vulnerabilities in V4 upgrade and potential liquidity fragmentation across multiple chain deployments. The GHO stablecoin experiment adds additional complexity and capital requirements.

Overall Risk

Medium

Regulatory Risk

Low

Technical Risk

Medium

Market Risk

High

11. Catalysts & Event Risks



V4 represents the critical make-or-break catalyst for Aave's institutional narrative, while macro conditions and competitive pressure create execution urgency

12. Investment Signals

▲ KEY CATALYSTS (BULLISH)

- ▲ V4 successful mainnet launch
- ▲ Institutional DeFi adoption acceleration
- ▲ Interest rate environment stabilization

▼ KEY CONCERNS (BEARISH)

- ▼ Continued development delays
- ▼ Further central bank rate cuts
- ▼ Market share erosion to efficient competitors

13. Verdict + Technical Correlation

Aave presents a classic 'fallen giant' investment thesis - a dominant protocol trading at distressed levels amid legitimate fundamental headwinds. The \$27.5B TVL demonstrates real utility and sticky user base, while the 84% decline from ATH creates asymmetric risk-reward dynamics.

The investment case hinges entirely on V4 execution and timing. Success could reignite institutional adoption cycles and justify \$190-220 targets, but failure or delays risk further market share erosion to more agile competitors. Zero recent development commits raise immediate execution concerns that must be monitored closely.

Current macro environment with rate cuts creates significant headwinds for all lending protocols, making this a tactical rather than strategic entry point. Risk-tolerant investors may find value at current levels, but position sizing should reflect elevated execution and macro risks.

Verdict

RATING

HOLD

TARGET

**\$145-165 range over 6-12
months, contingent on V4
delivery and macro
stability**

TIME HORIZON

12-18 months